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The Domino Effect: AI, Labor, and the Unraveling of the Old Economic Order

Jordi Visser

JVisser@22VResearch.com

22vresearch.com

The Misread Signal

Lately in my weekly videos, I've been highlighting the growing signs that AI is already impacting the jobs market. While I continue to believe this is not a traditional recession story, I also recognize that because so few people truly understand AI and crypto, many will interpret the labor market weakness through a historical lens, assuming it signals an approaching recession.

To be clear, that's not my view. There is a labor shortage from demographics and the current immigration will also be an offset. Instead, I believe we're witnessing the early stages of a much larger narrative: the disruptive force of exponential innovation on the workforce. As AI and automation accelerate, they are tipping the balance further toward capital, widening the inequality already stretching the fabric of our economic system. This growing tension won't just affect workers, it will force major shifts in both fiscal and monetary policy, as governments and central banks grapple with how to support displaced labor, maintain economic stability, and respond to a world where productivity rises without broad-based employment growth.

This is not a recession, it's a reordering of the economic contract between labor and capital, accelerated by AI's exponential reach. As traditional pathways to security erode, more and more people who feel displaced by this transformation are beginning to believe the system no longer works for them. In response, they're turning to alternatives like Bitcoin as a hedge against institutional failure and voting out incumbents across the world in search of leaders who promise to challenge the status quo.

I want to share my perspective on this transformation through the lens of a place that's familiar to me.

A Tale of Two Eras

If you want to visit a place that holds both the modern day and history in one frame, Williamsburg, Brooklyn is a great place to explore. In 2019, I left Manhattan for Williamsburg, so I get to experience it every day. It was on a recent walk along the Williamsburg waterfront that I was reminded of how powerfully those two forces, past and future, are colliding right now.

As I listened to a podcast on artificial intelligence and the future of work, I looked up at the beautifully restored Domingo Sugar Factory, now called *The Refinery*, a gleaming glass-and-brick hub overlooking the Manhattan skyline. On May 1st ironically, May Day, the Global Day of Labor solidarity, this historic site hosted NYC AI Demos, where startups like Notion, Oscar Health, and Suno showcased the next wave of labor-replacing technology.

The symbolism was striking: a building once powered by human labor now hosts machines that learn to think. What was once a battleground for wages and workers' rights is now a showroom for code and cognitive automation. That image stuck with me. As I continued walking, it became clear we are living through a moment as profound as anything Domino ever witnessed, only faster, broader, and far less understood.

From Strikes to Silicon

For over a century, the Domino Sugar Refinery stood as a symbol of industrial might and labor's resistance to it. From its early days in the 1880s, when striking workers protested brutal factory conditions, to the dramatic 600-day labor strike that began in 1999, Domino reflected the long and often painful struggle between labor and capital.

That final strike, one of the longest in New York City history, was a desperate response to globalization and early automation. It ended in 2001 with over 100 job losses and signaled the beginning of the end for the plant. By 2004, the factory was shuttered. And now, over two decades later, the very site that symbolized industrial labor's final stand has been reborn as an AI innovation center. On May Day, no less. The transformation is complete: what was once a monument to labor's power is now a temple of capital's reinvention.

Why This Time Is Different

Since I joined 22V, almost every paper I write involves profit margins and, in some way, job displacement. I spend nearly all of my learning time studying the timeline of AI disruption. Although I had one eye on the future of job disruption, that future is starting to look very near.

Like many veterans on Wall Street who have seen the hype cycle play out time and again, still waiting for 3D printers to revolutionize manufacturing or for flying cars to take off, we've grown accustomed to technology promises that rarely deliver on their speed or scale. But this time it feels very different. Today, I believe we're at the doorstep of a new, more unsettling inflection point, one that remains drastically underhyped.

In my opinion, artificial intelligence is already disrupting labor at a speed and scale unseen in prior industrial revolutions. Unlike the era of Domino, there are no meaningful strikes left to mount, white-collar jobs vanish without warning, and blue-collar roles are soon to be threatened by the embodiment of AI through robotics. What once took a century of disruption and resistance now happens in quarters.

For the first time, workers face not just the threat of layoffs, but a permanent anxiety about their place in the future. I feel it from the workers, parents, and young adults reaching out to me based on what they hear and see in my weekly content. AI is not simply a tool of productivity; it is a psychological accelerant of fear. In the long struggle between labor and capital, capital is now compounding faster than labor can even organize.

Capital Compounds, Labor Waits

There is no shortage of debate about the true impact of AI on jobs. Optimists like Marc Andreessen argue that every major technological shift from the loom to the internet has sparked fears of mass unemployment, only to give rise to entirely new industries and job categories. In this view, AI will be no different: a powerful productivity tool that frees workers from mundane tasks and enables more creative, fulfilling work.

But others, like Dario Amodei, CEO of Anthropic, and Mo Gawdat, former Google X executive, see something far more disruptive ahead. They warn of substantial job losses not in the distant future, but imminently. What makes AI different from past innovations is not just its speed, but its cognitive reach. This is the first breakthrough that threatens both white-collar decision-making roles and physical labor simultaneously. It's not just replacing muscle, it's replacing thought.

From lawyers and analysts to factory workers and drivers, no segment of the workforce is fully insulated. Comparing AI to past innovations misses a critical distinction: this isn't just a tool we wield, it's a system that learns, adapts, and increasingly operates without us. That's a shift no society has ever truly faced before. Most importantly, it is not stationary on the factory floor. We will be living with humanoids walking down the street alongside us. In NYC, this will start to feel real when Waymo finally rolls into town.

A World With Nowhere to Hide

What's often missing from the conversation is the psychological weight of a world where there is nowhere to hide. In past waves of disruption, workers could shift sectors; agriculture gave way to manufacturing, manufacturing gave way to services. But with AI, the sheer breadth and speed of potential replacement is unlike anything we've seen before. Entire categories of jobs, mental and physical, are being reshaped or eliminated not over decades, but quarters.

Altimeter CEO Brad Gerstner has highlighted this over the last two years. In 2023, he warned that AI will cause “the largest displacement of human labor in the history of capitalism.” On the recent BG2 podcast, he said, “We’ve never seen this in the history of technology... companies growing top-line revenue over 20% annually, while operating expenses and headcount grow at just 2%. It’s never happened before.”

When even knowledge workers and frontline roles are simultaneously under threat, it creates a pervasive anxiety about the future. And while it’s possible that new job categories will emerge, there’s a growing risk that the velocity of displacement far exceeds the pace of creation. In that gap, companies may enjoy rapid margin expansion and productivity gains, but they will likely come alongside mass layoffs, falling consumer confidence, and growing social unease. The danger isn’t just job loss; it’s the temporal mismatch between how fast AI transforms industries and how slowly society can adapt.

In this regime, capital compounds instantly. Labor waits, retrain, and hopes it’s not too late.

The Corporate Inoculation Effect

CEOs aren’t just warning, they’re actively scaring their workforces. An Axios report from last week highlights Amazon’s Andy Jassy cautioning employees that generative AI could “reduce our total corporate workforce,” while JPMorgan’s consumer chief openly said AI might enable a 10% headcount cut. To highlight the possible profit margins of banks, go to Perplexity and ask what JP Morgan’s IT budget is and you will see it is 18 billion dollars or about half the size of the market cap of the 250th largest company in the S&P 500. Shopify’s leaders have gone further, telling teams that before any new hire, managers must justify why AI couldn’t do the role instead.

This isn’t motivational, it’s strategic. Senior executives are priming employees to accept imminent job losses, subtly shifting accountability and softening backlash when layoffs inevitably follow. It’s the manifestation of a broader *inoculation effect*, where fearful messaging is deployed to preempt outrage, echoing a historical pattern of capital disciplining labor, but amplified by AI’s unprecedented reach and speed.

The Fed’s New Fault Line

This dynamic also puts the Federal Reserve in uncharted territory. On one hand, the surge in AI investment, across data centers, semiconductors, infrastructure, and the power to fuel its growth, will fuel GDP growth for years. On the other, AI-driven productivity gains and margin expansion could keep corporate profits strong and equity markets elevated, even if the labor market weakens.

That’s a divergence the Fed has rarely had to contend with: a booming S&P 500 and resilient top-line GDP numbers coexisting with rising unemployment and deteriorating consumer sentiment. If inflation remains sticky, particularly in services or housing, while labor weakens, the Fed may be forced to choose between two bad options: tighten further and risk amplifying labor distress or hold rates steady at a time the SPX is rising and credit spreads at all-time lows and fear losing control of inflation expectations.

What makes this even more complex is the Fed’s institutional DNA. It is largely comprised of academics, highly capable, but trained to analyze history, not confront realities that have no precedent. They are as lost as the employees wondering when AI will take their job. AI is writing new economic history at a pace faster than any academic model can absorb.

In this moment, the real risk is not runaway inflation, but the looming deflationary drag from technological disruption. Tariffs may push prices temporarily higher, but that’s a one-time adjustment. The erosion of the labor market if ignored could create a deeper, longer-lasting structural imbalance. If the Fed remains anchored to backward-looking inflation prints and misses the forward-looking deflationary tide from automation, it could tighten into a growing inequality driven by a weaker job market. The jobs data won’t just be a lagging indicator it will be the fault line.

The View from the East River

And so I come back to that walk along the East River. The Refinery stands tall and beautiful, a monument not just to Brooklyn’s industrial past, but now to its digital future. The same building that once processed sugar now hosts AI demos. The same walls that held striking workers now echo with venture pitches and neural network architectures.

The speed of change is dizzying. As I listened to CEOs speak about headcount reductions and watched teams present tools that automate away entire job functions, I couldn't help but feel the difference. Innovation continues to disrupt but this one feels more powerful, more pervasive, more anxiety filled and more underestimated.

Just like that quiet Axios article, it's a signal too many are still ignoring. In this new economic regime, ignoring the signal won't delay the disruption, it will only guarantee that we face it unprepared.

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